

A **DECADE** **AGO**, you'd have scoffed at the idea of a wedding in virtual space. Not anymore. A Chennai-based couple recently celebrated their wedding—Asia's first on the metaverse—where people interacted through their avatars. Even the bride's late father attended!

That's not all. The couple also launched non-fungible tokens (NFTs) featuring them and the wedding invitation. "We launched 10 unique NFTs of around \$25-150 which were resold for \$1,000-2,000. The response was huge," says Dinesh Kshatriyan, the groom, who is a project associate at IIT Madras.

NFTs have come a long way from the time when only celebrities created and sold them for millions. "NFTs are slowly but surely becoming a part of our everyday lives. Not only are NFTs a great business opportunity, they are also a new way for people to enjoy themselves while making money. That's why NFTs are here to stay," says Toshendra Sharma, Founder and CEO, NFTically, a Polygon-backed NFT marketplace.

As the world embraces the metaverse, NFTs will become the thing to own. "Owning an NFT would give people access to certain exclusive things in the metaverse... Collectors can access unique and credible artworks in the form of NFTs from around the globe. Since the NFT market is booming, some collectors are also looking at NFTs as a long-term investment option," says Sandesh B. Suvarna, Co-founder and Vice President, WazirX NFT Marketplace.

WHY ARE PEOPLE BUYING JPEGs AND GIFs?

You've heard of the deed that represents a house without being the physical house? That's what NFTs do. It is a type of programmable deed of ownership to an asset that exists on a blockchain. This digital deed gives its

POPULAR NFT TYPES



COLLECTIBLES

A limited set of NFT art, items, or cards with varying attributes and scarcity. Collectibles are popular partly due to standard attributes across a collection, enabling rarity in valuation models.



NFT ART

Digital content including images, music and videos. Sometimes there is a physical item accompanying the NFT, but this is not necessary.



METaverse

A network of virtual environments in which people can interact with each other, digital objects, and the physical world through their avatars. Virtual land purchases in metaverse platforms attract some of the highest valuations.



SPORTS

NFTs are used to represent sports collectibles, community participation rights and event ticketing. Many of the collectibles represent highlight moments from games that users can trade, similar to physical sports trading cards.



GAMING

Gaming NFTs represent in-game assets such as items and property, which have functional uses in the virtual world. Applications are becoming increasingly sophisticated as in-game economies and 'play-to-earn' monetisation models mature.



UTILITY

Utility NFTs provide the owner with some functional or monetary rights, usually in a digital platform context. Domain names and insurance NFTs are two popular applications today.

Source: Cointelegraph report

holder the exclusive ability to use, sell and transfer the asset's ownership rights. Here, an item can be made unique by giving it a code and the 'digital deed' or token—which cannot be replicated—proves one's ownership of that digital asset.

NFTs can offer anything from GIFs to digital art to static images. The USP of an NFT is that it is used to prove ownership of a digital item; The use-cases for NFTs—run on blockchains such as Ethereum and Matic—are varied. An NFT can be looked at as an authentic digital art piece or an asset which can be used to earn cryptocurrency in games. Artists also use them to prove ownership of their digital art, which often includes JPEGs or GIFs, paintings, audio or video files, or any other type of digital file, says Vikas Ahuja, CEO at crypto trading platform CrossTower India. The file is stored in decentral-

ised storage and an NFT can be created to prove its ownership. "From digital art to ticket sales, music, collectibles, luxury items, and gaming—NFTs have the potential to transform the way we interact," he says, adding that India's NFT market had the potential to grow to \$1 trillion-plus.

NFTs have also created a secondary market for the sale of digital assets. This allows NFT collectors, just like creators, to list and sell their NFTs on a marketplace. Every time the token changes hands, a royalty is paid to the original creator.

"NFTs provide a way to create and trade digital assets that are not subject to the same volatility as cryptocurrencies. While this may seem like a minor distinction, it opens up a world of new possibilities for the usage of these tokens," says Kyle Fernandes, CEO and Co-founder of Meme Chat, a social networking app.